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TRANSPORTATION



Uber makes multimillion-dollar investment in Lucid and Nuro to build a premium robotaxi service

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October 27-29, 2025 | San Francisco

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- Roku launches Howdy, a \$2.99 ad-free streaming service
- Spotify raises subscription prices
- The uproar over Vogue's AI-generated ad isn't just about fashion

"We were thrilled that, at the end of all that, we were the partner that was chosen," he said.

TC

Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They're here to deliver the insights that fuel startup growth and sharpen your edge. Don't miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your

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Ferguson
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Lucid's Gravity SUVs are ideal because the vehicles are already equipped with the kind of hardware redundancies required for a Level 3 automated driving system, Ferguson said. (Level 3 is a designation by the [Society of Automobile Engineers](#) that allows the driver to take their eyes off the road and hands off the steering wheel in certain conditions.)

The Nuro-equipped Gravity vehicles will be Level 4, which means the vehicle can handle all aspects of driving in certain conditions without human intervention. Still, the added redundancies made it

“almost a delight” as Nuro integrated its self-driving system into the vehicles, Ferguson said.

Uber has spent the past two years locking in partnerships with autonomous vehicle technology companies, covering the spectrum of how self-driving systems can be applied to the physical world. The ride-hailing giant has partnered with more than 18 companies globally, across [ride-hailing](#), delivery, and trucking. In this year alone, it has announced deals with [Ann Arbor, Michigan-based May Mobility and Volkswagen](#), as well as Chinese self-driving firms Momenta, [WeRide](#), and Baidu.

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initially focused on applying its AV tech to a fleet of low-speed, [on-road delivery bots](#), which it had developed. But the company burned through its cash reserves, and after facing difficult capital markets, conducted multiple rounds of layoffs in 2022 and 2023.

Last year, Nuro [pivoted its business strategy](#) to focus more on the startup’s core autonomous driving technology. It ditched the low-speed delivery model and set out to license its autonomous vehicle technology to automakers and mobility providers, like ride-hail and delivery companies. The decision to only focus on

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developing and licensing the AV system allowed Nuro to extend its runway from 1.5 years to 3.5 years, the company said at the time.

But the company still needed a licensing deal to prove its shift. The Uber agreement, along with several others in the works, according to Ferguson, suggests the pivot is paying off.

Topics: [Lucid Motors](#) [nuro](#) [robotaxi](#) [Transportation](#)

[Uber](#)

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How Nuro plans to spend Softbank's \$940 million

Smaller robots could leap from driverless vehicles to complete last-yard deliveries

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A [recent patent application](#) details how its R1 self-driving vehicle could carry smaller robots to cross lawns or climb stairs to drop off packages. The company has even taken the step of [trademarking](#) the name “Fido” for delivery services.

“We think there’s something neat about that name,” Nuro founder Dave Ferguson told TechCrunch. “It’s friendly, neighborly and embodies the spirit of a helper that brings you things. It wasn’t intended to extend towards literal robot dogs, although some of the legged platforms that others are building could be very interesting for this last 10-foot problem.”

Another section of Nuro’s patent shows the R1 delivering piping hot pizza and beverages, prepared en route in automated kitchens.

“We tried to build a lot of flexibility into the R1’s compartment so we could serve all the applications that people will be able to think of,” Ferguson said. “A coffee machine is actually a pretty good one. If you go to your local barista, those machines are incredibly expensive. Amortizing them over an entire neighborhood makes sense.”

As automated technologies mature, companies are focusing less on simply getting around and more on how services will connect with actual customers. Delivering goods instead of passengers also means fewer regulations to navigate.

That opportunity has prompted a number of companies, including e-commerce and logistics giant Amazon, FedEx, and numerous startups to explore autonomous delivery. At CES this year, [Continental unveiled a prototype dog-shaped robot for last-yard deliveries](#), while Amazon has

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The first company to scale automated driving and delivery could start building revenue while those aiming for autonomous taxis are stuck in a maze of laws, safety concerns and consumer skepticism.

Origin story

Softbank’s capital allows Nuro’s founders to run with its many ideas. But even in its earliest days, they benefited from an early injection of cash.

Nuro was founded in June 2016 by Ferguson and another former Google engineer, Jiajun Zhu, after they received multi-million dollar payouts from the company's infamous Chauffeur bonus plan. Chauffeur bonuses were intended to incentivize engineers who stuck with Google's self-driving car project. However, the plan's structure meant that anyone who left after the first payout in 2015 would also receive a large lump sum.

Lead engineer Anthony Levandowski appears to have earned over \$125 million from the plan. He used some of the money to start Otto, a self-driving truck company that was acquired by Uber and subsequently became the focus of an epic [patent and trade secrets theft lawsuit](#).

Court filings from that case suggest that Ferguson and Zhu received around \$40 million each, although Ferguson would not confirm this. (Another Chauffeur alum, Russell Smith, got a smaller payout and quickly joined Nuro.

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A Nuro spinout

Nuro started pilot grocery deliveries last summer with a Kroger supermarket affiliate in the Phoenix suburb of Scottsdale. The pilot initially used modified Toyota Prius sedans and [transitioned in December](#) to its R1 vehicle. "We're super excited about the application area," says Ferguson. "87 percent of commerce is still local and 43 percent of all personal vehicle trips in the U.S. are for shopping and running errands."

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records show that Ike was not incorporated until July, and shared office space with Nuro until at least the beginning of September. Ike's founding engineers actually worked at Nuro after leaving Uber. Van den Berg can even be seen in a Nuro team photo that was shot in June and reproduced in [Nuro's Safety Report](#), wearing a Nuro T-shirt.

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Not to be outdone, Nuro quickly followed with an announcement of a \$940 million investment by the SoftBank Vision Fund, in exchange for what Ferguson calls a “very, very significant ownership stake.” Nuro had been introduced to SoftBank after [talks with Cruise fell through](#).

Thousands of bots

Apart from robotic dogs, what does the future hold for a newly cash-rich Nuro?

“We’re very excited about the Scottsdale pilot, but it’s basically one grocery store in one ZIP code,” says Ferguson. Shortly after our interview, Nuro

announced that it would be [expanding its delivery service](#) to four more ZIP codes in Houston, Texas.

“Next year and onwards, we want to start to realize the potential of what we’re building to eventually service millions of people” Ferguson said. We’re aggressively expanding the number of partners we’re working with and we’re working on how we manufacture a vehicle at a large scale.”

Nuro will likely to partner with an established auto OEM to build a fleet of what Ferguson hopes will become tens or hundreds of thousands of driverless vehicles. Last week, it [petitioned the National Highway Traffic Safety Administration](#) (NHTSA) for exemptions to safety standards that do not make sense for a driverless vehicle – like having to install a windshield or rearview mirrors.

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Kirsten Korosec — 12:56 PM PDT · April 7, 2020

IMAGE CREDITS: NURO

Autonomous delivery startup Nuro has been granted a permit to begin driverless testing on California's public roads, paving the way for the company to roll out commercial operations throughout the state.

Latest in Transportation

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Nuro, which raised \$945 million from SoftBank Vision Fund last year, is allowed to put two of its low-speed electric R2 delivery vehicles on public roads in parts of Santa Clara and San Mateo counties, according to the California Department of Motor Vehicles, the agency that regulates autonomous vehicle testing in the state.

The driverless permit allows the vehicles to operate at a maximum speed of 25 mph and only in fair weather conditions on streets with a speed limit of no more than 35 mph, the DMV said Tuesday. The permit covers nine cities, including Atherton, East Palo Alto, Los Altos Hills, Los Altos, Menlo Park, Mountain View, Palo Alto, Sunnyvale and Woodside.

“The safety is our top priority, and we’re taking it lightly,” the statement said. “We’re excited to receive this permit for our R2 vehicle.”

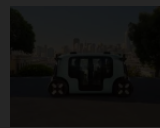
Nuro will start testing in the area due to safety concerns. Newsom said the pandemic has slowed progress in logistics.

“Once the testing can begin, Nuro’s chief legal and policy officer David Estrada said in a blog post Tuesday. “Our hope is that residents of neighboring cities and counties will see R2 on the road soon,” he said.

A path to commercialization

While 65 companies have an active permit to test autonomous vehicles with a human safety driver, Waymo, and now Nuro, are the only companies allowed to operate driverless vehicles on California’s public roads.

TRANSPORTATION

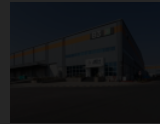


Federal regulators give Zoox an exemption for its custom-built robotaxis

Kirsten Korosec

- 14 hours ago

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Jeh Aerospace nets \$11M to scale the commercial aircraft supply chain in India

Jagmeet Singh - 2 days ago

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Foxconn sells former GM factory to mystery buyer after failing to make

ago

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Nuro might end up being the first company to actually use it. Waymo, the former Google self-driving project that spun out to become a business under Alphabet, received the first permit in October 2018. However, the company has never conducted driverless testing on public roads there. Instead, Waymo has focused its efforts on Arizona, where it already operates a robotaxi service called Waymo One and it has a clearer commercial path.

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Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy

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In California, the commercial path is muddled for most AV developers. Under state law, the DMV regulates autonomous vehicle testing. If a company wants to transport passengers — essentially operating a ride-hailing service — it must get an [Autonomous Vehicle Passenger Service](#) pilot permit from the California Public Utilities Commission.

The CPUC lets companies use their self-driving vehicles to transport people. However, they can't

charge for rides and the vehicles must have safety drivers behind the wheel.

Nuro's R2 vehicle isn't designed for people, only packages. While the company can't charge a delivery fee, it can generate revenue by working with local retailers to launch a commercial delivery business using the autonomous vehicles.

Nuro will start with free deliveries to select customers in Mountain View and the surrounding area, Estrada said, adding that this will allow a formal delivery service in partnership with local brands and retailers.

The company's first delivery service is a full commercial service in the state.

"Putting a road with the self-driving what is believed to be an autonomous 19 we used

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Nuro's R2 unit

Nuro R2

SAFETY INSPIRATION

Narrow Width
The vehicle body takes up less road space, making it safer for those around us.

Pedestrian Monitoring Front End
Specially designed panel at the vehicle's front directs energy, better protecting pedestrians.

360° View
Embedded sensor placement creates redundant, simultaneous views in all directions.

Complete Delivery Cycle
Customers can remove goods without stepping into traffic.

TECHNICAL

- 360° overlapping cameras
- Thermal imaging camera
- Lidar
- Short & long range radar
- Ultrasonics
- Emergency vehicle audio detection

VEHICLE EQUIPMENT

- Redundant braking and control systems
- Automated lighting and signals
- Touch screen for customer access or two-person manual operation
- Power generator for pedestrian safety

VEHICLE SPECIFICATIONS

Max Speed	25mph
Battery Size	21kWh
Charge Speed	1.5 h. @ 60kW
Gross Vehicle Weight	1500kg
Payload	150kg
Carrying Capacity	32 cu. ft.

nuro
DELIVERING THE FUTURE

IMAGE CREDITS: NURO

Nuro was founded in June 2016 by Google alums Dave Ferguson and Jiajun Zhu. The company was issued an AV testing permit — with a human safety operator — in 2017. Initially, the company used modified Toyota Prius sedans for testing as well as for pilot grocery deliveries in Arizona and Texas.

The company [transitioned in December 2018](#) to the R1, the first step toward a vehicle designed exclusively for packages.

Its second-generation, vehicle called the R2, was introduced in February 2020. The R2, which was designed and assembled in the U.S. in partnership with Michigan-based Roush Enterprises, is

equipped with a “driver” seat. However, it does not require a human operator. National Highway Traffic Safety Administration (NHTSA) says the R2 is

After the company received its R2 vehicle, it began operating in the Phoenix area. The company’s mirrors and cameras are visible from the outside, and the vehicle has a “shuts off” button on the side.

This exemption is different from the one that GM is currently pursuing for its self-driving unit Cruise. That vehicle, which is not considered a low-speed vehicle, has a much longer list of exemptions.

Topics: [autonomous delivery](#), [autonomous vehicles](#)

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Kirsten Korosec

Transportation Editor |

Kirsten Korosec is a reporter and editor who has covered the future of transportation from EVs and autonomous

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